Gold: Store of Value or Investment?

Gold has been used as currency or standard of currency for centuries. It was effectively the underlying currency of the world in most countries for over 2000 years. Silver, which also worked as currency, was always valued in terms of gold and in that sense reflected the derived value of gold. Until 1970, gold (and silver) served to clear international balance in imports and exports. A country importing more than exporting shipped gold and the country exporting more received gold in payment and settlement. India was a net exporter during the last two millennia and received considerable payments in gold. Gold was valued by Indians as the real store of value and they happily traded their handicrafts, handlooms and agriculture produce for it.

When the world moved to paper currency and the inability of governments and central banks to manage inflation caused by indiscriminate issue of currency became a pandemic, Indian households found gold a protector of real value. Gold prices beat the inflation caused by depreciation of currency—against both external currencies and internal over-issuance. Financial instruments did not protect savings; there were times when the interest yield on government bonds and bank deposits were lower than the interest received. Gold was considered the ideal hedge by most Indian households. As gold was stocked mostly in the form of jewellery, it served an additional purpose without much extra cost (making charges in India have been almost insignificant) of meeting the family's need for ornaments. The fascination of Indian households for gold is quite understandable.

However, the gold holdings of households are no better than wads of currency notes stuffed into mattresses. The enormous gold savings of Indians serve no purpose as far as financing investments are concerned. For a country starved of financial capital, storing over Rs 112 lakh crore of equity in the form of jewellery in almirahs and lockers is nothing but a